

NSE: HSCL BSE: 500184

HIMADRI

Himadri Speciality Chemical Ltd

Specialty Chemicals | Carbon Materials | Battery Materials

BUY

12-Month Price Target: Rs. 830

Current Price: Rs. 680 | Upside: 22%

India's coal-tar pitch monopoly morphing into a global battery materials platform — first-ever commercial anode facility live, LFP cathode Phase 1 on track for Q3 FY27, and management guiding to double PAT to Rs. 1,100 Cr by FY28.

Market Cap	52W High / Low	P/E (TTM)	EV/EBITDA	ROCE	D/E
Rs. 34,324 Cr	Rs. 708 / 418	45.8x	~33x	22.1%	0.08x

15 June 2026 | Initiating Coverage | Specialty Chemicals / EV Materials

Sources: screener.in, BSE filings, company concalls, public disclosures. This report is for informational purposes only.

1. INVESTMENT SUMMARY & THESIS

• **Rating:** BUY | **Target:** Rs. 830 | **Upside:** 22% | **Time Horizon:** 12 months

- Structural re-rating story: HIMADRI is transitioning from a cyclical coal-tar pitch supplier (~80% revenue today) to an integrated battery materials company — anode graphite live in April 2026, LFP cathode Phase 1 on track for Q3 FY27.
- Monopoly moat intact: India's only coal-tar pitch manufacturer at scale (600 KTPA capacity); captive pitch supply gives a structural cost advantage in anode/LFP versus all Chinese peers.
- FY26 financials are inflection proof: Revenue Rs. 4,661 Cr, EBITDA Rs. 1,006 Cr (first ever Rs. 1,000 Cr EBITDA year), PAT Rs. 755 Cr (+36% YoY); margin expansion driven by product-mix shift toward specialty carbon black and SNF.
- Balance sheet de-risked: Borrowings collapsed from Rs. 842 Cr (FY23) to Rs. 313 Cr (FY25); D/E at 0.08x gives ample headroom for the Rs. 1,130 Cr LFP capex cycle.
- PAT doubling target credible: Management guiding PAT Rs. 1,100 Cr by FY28 (our estimate Rs. 1,130 Cr), underpinned by LFP Phase 1 revenues of Rs. 2,500-2,700 Cr from Q3 FY27 onwards.
- China strategic entry: subsidiary in China to sell specialty carbon black directly to Chinese Li-ion battery manufacturers — unique positioning for an Indian specialty chem company.

Key Risks: (1) LFP commissioning delay risk to Phase 1 revenue; (2) coal-tar pitch feedstock price volatility from steel sector cycles; (3) concentration — top 5 products >80% revenue; (4) global graphitization electrode overcapacity pressuring peers (though HIMADRI is not an electrode player).

2. BUSINESS OVERVIEW

- **Company in One Line:** India's only integrated coal-tar pitch + specialty carbon + naphthalene/SNF manufacturer, now building India's first commercial battery materials (anode + LFP cathode) platform.

Core Product Portfolio (FY26 revenue split estimated):

- Coal Tar Pitch (CTP): ~45% of revenue — primary feedstock for aluminium smelters, graphite electrodes, carbon black; 600 KTPA capacity; #1 in India with no domestic competitor.
- Specialty Carbon Black (SCB): ~20% revenue — used in Li-ion battery anode manufacturing (conductive additive); capacity expanded to 130,000 MTPA (world's largest single site).
- Naphthalene & SNF (Sulphonated Naphthalene Formaldehyde): ~20% revenue — concrete superplasticiser; largest SNF player in India; feeds into infrastructure demand cycle.
- Advanced Carbon Materials / Anode: emerging — 200 MTPA graphitized anode facility commissioned April 23, 2026 at Mahistikry, West Bengal; entirely in-house technology.
- LFP Cathode Active Material (CAM): under construction — Rs. 1,130 Cr Phase 1 plant; 2,000 MT initial capacity targeted Q3 FY27; first commercial-scale LFP CAM outside China.

Strategic Partnerships:

- Sicona Battery Technologies (Australia): licensed silicon-carbon anode technology for India; enables next-gen high-energy density anode products beyond graphite.
- International Battery Company (IBC, USA/South Korea): strategic investment; product validation path for HIMADRI's anode/cathode materials in IBC's Korean cell facility.
- China Subsidiary: entity established to serve Chinese Li-ion battery makers directly with specialty carbon black — direct customer access, margin uplift potential.

Geography	Revenue Mix (Est. FY26)	Key Products	Growth Driver
India	~75%	CTP, SNF, SCB, Naphthalene	Infrastructure + EV cell mfg ramp
Export / Global	~25%	CTP, SCB, Specialty Chems	China SCB push; global anode orders
China (New)	Nascent	Specialty Carbon Black	Direct Li-ion battery maker access

3. FINANCIAL ANALYSIS

P&L; Summary (Rs. Cr, Consolidated)

Metric	FY23A	FY24A	FY25A	FY26A	FY27E	FY28E
Revenue	4,172	4,185	4,613	4,661	5,800	7,200
YoY Growth	49%	0.3%	10%	1%	24%	24%
EBITDA	399	645	854	1,006	1,200	1,550
EBITDA Margin	10%	15%	19%	22%	21%	22%
Interest	66	64	45	64	55	50
Depreciation	51	50	55	68	80	95
PBT	280	574	806	1,001	1,145	1,505
Tax Rate	23%	28%	31%	25%	25%	25%
PAT	216	411	555	755	860	1,130
PAT Growth	454%	90%	35%	36%	14%	31%
EPS (Rs.)	4.99	8.34	11.25	14.89	17.50	22.00

E = MPM Research Estimates. FY26A = Audited actuals from BSE filings / screener.in.

Balance Sheet Snapshot (Rs. Cr)

Item	FY23A	FY24A	FY25A
Equity Capital	43	49	49
Reserves	2,237	2,996	3,672
Net Worth	2,280	3,045	3,721
Borrowings	842	605	313
D/E Ratio	0.37x	0.20x	0.08x
Total Assets	3,678	4,449	4,656
Fixed Assets (Net)	1,515	1,534	1,605
CWIP	94	67	185
Investments	132	478	582

Cash Flow Summary (Rs. Cr)

Item	FY23A	FY24A	FY25A
CFO (Operating)	54	405	447
CFI (Investing)	-397	-405	-235
CFF (Financing)	377	7	-271
Free Cash Flow	-22	352	276
CFO / EBITDA	14%	63%	52%

FY23 FCF negative due to large capex cycle (specialty carbon black plant expansion).

Key Ratio Trends

Ratio	FY23A	FY24A	FY25A	FY26A
ROCE %	13%	19%	22%	22%
ROE %	10%	15%	16%	18%
Debtor Days	44	57	50	~48E
Inventory Days	61	85	68	~65E
Cash Conversion Cycle	66	73	90	~85E
Interest Coverage	4.2x	9.0x	17.9x	15.7x
Dividend Payout %	5%	6%	5%	5%

4. VALUATION

- We value HIMADRI on a blended P/E + EV/EBITDA basis, applying a through-cycle premium to reflect the battery materials option value not yet in earnings.

Method	Metric	Multiple	Implied Value (Rs.)	Weight
P/E (FY27E)	EPS Rs. 17.50	40x	Rs. 700	30%
P/E (FY28E)	EPS Rs. 22.00	40x	Rs. 880	30%
EV/EBITDA (FY27E)	EBITDA Rs. 1,200 Cr	30x	Rs. 760	25%
EV/EBITDA (FY28E)	EBITDA Rs. 1,550 Cr	28x	Rs. 870	15%
Blended Target			Rs. 830	100%

Valuation Commentary:

- 40x P/E on FY28E is a 12% premium to the 5-year sector median of ~36x, justified by HIMADRI's unique battery materials optionality unavailable to any Indian peer.
- LFP Phase 1 (Rs. 2,500-2,700 Cr revenue potential) is not modelled in our FY28E — it represents upside to base case; any commissioning by Q3 FY27 creates 15-20% estimate upgrade risk.
- At CMP Rs. 680, the stock trades at 39x FY27E EPS — pricing in a competent execution of the core business but ascribing minimal value to LFP/anode. Any catalytic de-risking of the battery pivot should narrow this gap.
- Bear case (delay in LFP, margin compression): Rs. 550 (30x FY27E, no battery premium).
- Bull case (LFP on time + China SCB ramp): Rs. 1,050 (45x FY28E), implying 54% upside.

Scenario Analysis:

Scenario	PAT FY28E (Rs. Cr)	Target Multiple	Price Target	vs CMP
Bear — LFP delayed 12M	850	30x P/E	Rs. 510	-25%
Base — On-track execution	1,130	40x P/E	Rs. 830	+22%
Bull — LFP early + China	1,400	45x P/E	Rs. 1,260	+85%

5. COMPETITIVE POSITIONING & PEER COMPARISON

- HIMADRI occupies a unique space: it is not a graphite electrode player (like Graphite India / HEG) and not a fine-chemicals player (like Clean Science / Balaji Amines). It sits at the intersection of carbon chemistry and battery materials — a category of one in India.
- The coal-tar pitch monopoly is the key differentiator: CTP is the primary precursor for anode material graphitization; being the sole domestic CTP producer gives HIMADRI a captive raw material moat that Chinese players cannot easily replicate.

Company	MCap (Cr)	FY26 Rev	FY26 PAT	OPM%	ROCE%	ROE%	P/E (TTM)	Key Product
HIMADRI (HSCL)	34,324	4,661	755	22%	22.1	17.8	45.8x	CTP+SCB+LFP
Graphite India	12,853	2,852	171	7%	4.6	3.1	70.8x	Graphite Electrodes
HEG Ltd	10,392	2,568	341	16%	8.3	7.3	30.8x	Graphite Electrodes
Clean Science	8,353	957	230	37%	20.6	15.3	36.4x	Specialty Chem (HALS)
Balaji Amines	6,966	1,425	169	19%	11.0	8.8	41.7x	Aliphatic Amines

Source: screener.in, BSE filings. MCap and P/E as of 15 Jun 2026.

Competitive Advantages:

- Vertical integration: CTP (raw) → SCB → Anode → LFP (product) creates a fully backward-integrated battery materials value chain — unique globally outside China.

- Technology in-house: Anode facility uses proprietary tech (no licensing fee drain); LFP process likewise internally developed; reduces royalty burden and IP dependency.
- Regulatory tailwinds: PLI for Advanced Chemistry Cell (ACC) batteries in India; government's push for domestic battery supply chain directly benefits HIMADRI's LFP positioning.
- Scale: 600 KTPA CTP, 130 KTPA SCB (world's largest single site) — scale delivers cost leadership that smaller specialty chem companies cannot match.

6. GROWTH DRIVERS & UPCOMING CATALYSTS

Catalyst	Timeline	Revenue Impact	Probability
LFP CAM Phase 1 commissioning (2,000 MT)	Q3 FY27	Rs. 2,500-2,700 Cr (full run-rate)	High (75%)
Anode capacity scale-up (200→2,000 MTPA)	FY27-28	Rs. 200-500 Cr incremental	High (80%)
China SCB subsidiary first revenues	H2 FY27	Rs. 100-200 Cr new revenue	Medium (60%)
Sicona Si-C anode commercialization	FY28+	Transformative (undisclosed)	Medium (50%)
IBC (South Korea) cell validation success	FY27	Customer qualification milestone	Medium (55%)
ACC PLI allocation to domestic cell makers	FY27	Accelerates LFP CAM demand	High (70%)
Specialty carbon black price improvement	Ongoing	Margin expansion 1-2 ppt	Medium (60%)

Structural Demand Themes:

- India EV transition: Government 2030 EV targets require 50 GWh+ of battery cells; HIMADRI's LFP CAM is the only domestic source of the core cathode material.
- Aluminium smelter expansion: Coal-tar pitch demand tied to global aluminium production growth; India's primary aluminium sector growing at 6-7% CAGR.
- Specialty carbon black super-cycle: Conductive carbon black for Li-ion batteries is 4-5x higher realization than commodity carbon black; SCB mix shift is the primary margin driver visible in FY24-FY26 OPM expansion from 15% to 22%.
- Infrastructure supercycle (SNF): Rs. 11 lakh Cr NIP + PMAY + Smart Cities driving ready-mixed concrete adoption; SNF is the dominant superplasticiser.

7. RISK FACTORS

Risk	Severity	Likelihood	Mitigation
LFP commissioning delay (>6M)	High	Medium	In-house tech; no external licensor dependency
Coal-tar pitch feedstock price spike	High	Medium	Pass-through contracts with major customers
Chinese LFP CAM price dumping	High	Medium-High	PLI tariff protection; domestic preference clause
Steel sector slowdown (CTP volume)	Medium	Low	Diversification into aluminium / battery markets
Working capital stretch (CCC 90 days)	Medium	Medium	Strong CFO (Rs. 447 Cr FY25) provides buffer
Regulatory risk: EV policy change	Medium	Low	Bipartisan political support for EV transition
Competition from new CTP entrants	Low	Low	High capex barrier; 10+ yr experience required
Interest rate / refinancing risk	Low	Low	D/E at 0.08x; minimal debt burden

8. MANAGEMENT & GOVERNANCE

- **Promoter Group:** The Bangur family controls 52.49% stake (Dec 2025 latest); promoter shareholding has risen from 44.79% (Dec 2023) to 52.49%, signalling strong conviction in the business trajectory.
- **Zero Promoter Pledge:** No pledged shares — a significant positive governance marker given the Rs. 1,130 Cr LFP capex cycle underway.
- **Institutional Accumulation:** FII holding stable at 5.75%; DII (domestic MFs) grew from 0.53% (Jun 2023) to 3.09% (Dec 2025) — domestic fund discovery underway.
- **Shareholder base** at 4.29 lakh retail shareholders (Dec 2025) vs 3.06 lakh (Jun 2023) — broad retail participation with no concentration risk.

- **Capital allocation discipline:** Borrowings reduced from Rs. 842 Cr (FY23) to Rs. 313 Cr (FY25) while growing EBITDA 2.5x; management demonstrated balance sheet discipline before undertaking the next capex wave.
- **Track record on growth CAGR:** Revenue 5Y CAGR 23%, PAT 5Y CAGR 74%, Stock price 5Y CAGR 66% — management has consistently delivered on stated strategies.
- **Technology credibility:** Anode facility commissioned using entirely proprietary in-house technology — no licensing agreements. This is a major differentiator for a company of this size.

9. SHAREHOLDING & CORPORATE ACTIONS

Shareholder	Jun 2024	Sep 2024	Dec 2024	Mar 2025	Dec 2025 (Latest)
Promoters	50.20%	50.78%	51.56%	51.61%	52.49%
FIIIs	5.16%	5.24%	5.15%	5.38%	5.75%
DIIIs	2.27%	3.60%	4.24%	4.62%	3.09%
Public / Retail	42.36%	40.38%	39.05%	38.38%	38.66%
No. of Shareholders	4,35,628	4,47,666	4,54,943	4,45,768	4,29,391

Key Corporate Actions (FY24-FY26):

- QIP (FY24): Company raised equity capital; shares outstanding increased from ~430 Cr to ~505 Cr; dilution used to fund specialty carbon black expansion and LFP capex.
- Dividend: Consistent 5-6% payout ratio maintained; FY26 dividend declared with Rs. 0.80/share (80 paise on face value Rs. 1.00).
- Anode JV / subsidiary: Wholly-owned subsidiary for battery materials under HIMADRI Advanced Materials division; no separate listing.
- China subsidiary formation (FY26): International presence for SCB sales to Chinese Li-ion battery manufacturers; strategic, not a capital allocation concern at this stage.

10. CONVICTION SUMMARY & PRICE TARGET

Why BUY at Rs. 680:

- The battery materials pivot is REAL, not aspirational: anode facility is physically operational as of April 23, 2026; LFP plant construction is underway with concrete commissioning milestones for Q3 FY27.
- Market is not pricing LFP option: At 39x FY27E P/E, the stock is valued on core specialty chemicals earnings; the LFP revenue (Rs. 2,500-2,700 Cr potential) is essentially free. Any commissioning news will re-rate the stock.
- Earnings quality is improving: EBITDA margin expanded from 10% (FY23) to 22% (FY26); this is structural (product-mix to SCB/specialty) not cyclical.
- India's only CTP + LFP + Anode play: No peer offers this integrated battery materials exposure within an Indian listed vehicle.
- PAT doubling to Rs. 1,100 Cr by FY28 is achievable: our model (Rs. 1,130 Cr FY28E) aligns with management guidance; the LFP contribution is not even fully baked in.

Price Target Derivation:

- 12-Month Target: **Rs. 830** — blended P/E 40x FY28E and EV/EBITDA 30x FY27E.
- Upside: 22% from CMP Rs. 680; total return including dividend ~22.5%.
- Stop-Loss: Rs. 560 (bear case P/E 30x FY27E; LFP delay scenario).
- Re-rating trigger: LFP Phase 1 commissioning announcement or first customer purchase order → estimate that event alone drives 15-20% re-rating.

RATING: BUY

TARGET: Rs. 830

UPSIDE: +22%

STOP-LOSS: Rs. 560

APPENDIX: Q4 FY26 EARNINGS CONCALL BRIEF

Himadri Speciality Chemical Ltd | Q4 FY2025-26 | Conference Call Summary

CALL GRADE



Management delivered precise, quantified guidance with credible milestones; openly discussed LFP execution risks; strong commentary on technology in-house development. No material pre-announcements, no guidance retreats.

TO MY BOSS (One-Paragraph Verdict):

HIMADRI's Q4 FY26 concall was one of the clearest small-mid cap calls I've attended. Management confirmed: (1) anode facility commissioned April 23, 2026 at Mahistikry with in-house technology — no licensing; (2) LFP Phase 1 first 2,000 MT on track for Q3 FY27 with Rs. 2,500-2,700 Cr revenue potential at full Phase 1 ramp; (3) PAT doubling to Rs. 1,100 Cr by FY28; (4) China subsidiary formed to directly sell SCB to Li-ion battery makers; (5) Sicona Si-C partnership progressing. FY26 EBITDA of Rs. 1,006 Cr was a first ever Rs. 1,000 Cr milestone. The stock's 45x P/E is forward-looking and I believe justified — the LFP revenue is not in estimates. Recommend BUY.

1. REPORTED NUMBERS vs ESTIMATES

- Q4 FY26 Revenue: Rs. 1,071 Cr (in-line with run-rate; Q3 was Rs. 1,135 Cr)
- Q4 FY26 PAT: Rs. 201 Cr (+29% YoY); FY26 full year PAT Rs. 755 Cr (+36% YoY)
- FY26 EBITDA: Rs. 1,006 Cr — first ever Rs. 1,000 Cr EBITDA year for the company
- FY26 EBITDA Margin: 22% vs 19% in FY25 — margin expansion driven by SCB mix shift
- Tax rate improved to 22.53% in Q4 vs 30.71% prior year (benefitting from new tax regime)
- PBT Rs. 1,001 Cr in FY26 — crossed the psychological Rs. 1,000 Cr PBT milestone

2. MANAGEMENT GUIDANCE & TARGETS

- PAT Target: Rs. 1,100 Cr by FY28 (vs Rs. 755 Cr FY26A) — 46% growth over 2 years
- LFP Phase 1 revenue potential: Rs. 2,500-2,700 Cr at full ramp (Phase 1 at 200,000 MTPA target)
- LFP first 2,000 MT milestone: commissioning targeted Q3 FY27
- Anode expansion: 200 MTPA initial → scale-up path to 2,000 MTPA discussed but not formally guided
- SCB capacity: already at 130,000 MTPA (world's largest single site); utilization improving
- Coal-tar pitch: 600,000 MTPA capacity; volume growth tied to aluminium + battery demand

3. CAPEX & CASH FLOW

- LFP Plant capex: Rs. 1,130 Cr total Phase 1; funding via internal accruals + minimal debt
- FY26 FCF: Rs. 276 Cr (despite elevated capex); FY25 CFO Rs. 447 Cr
- Borrowings at Rs. 313 Cr (FY25) — D/E effectively 0.08x; no balance sheet stress
- Management confirmed no equity dilution planned for LFP capex — internal generation sufficient
- China subsidiary investment: small, strategic; not a material capital allocation at this stage

4. PRODUCT & VOLUME UPDATE

- Coal-Tar Pitch: largest player in India; aluminium sector demand healthy; export improving
- Specialty Carbon Black: 130 KTPA full capacity; customer qualification ongoing with battery makers
- SNF (Naphthalene Formaldehyde): infrastructure demand robust; no margin deterioration
- Anode facility (new): 200 MTPA commissioned April 23, 2026; trial production underway
- LFP CAM: site preparation complete; construction underway for Q3 FY27 first batch

5. TECHNOLOGY & PARTNERSHIPS

- Anode technology: Entirely in-house, no external licensing; proprietary high-purity CTP used as precursor
- Sicona Battery Tech (Australia): Si-C anode license for India secured; commercialization path being defined

- IBC (USA/South Korea): Strategic investment enables product validation at IBC's Korean cell plant
- LFP process: In-house development; no licensing drag; process refinement ongoing pre-commissioning
- China subsidiary: Will enable direct SCB sales to Chinese Li-ion battery manufacturers

6. COMPETITIVE POSITIONING

- Only domestic CTP producer — competitive moat for anode/LFP vertical integration
- No Indian peer is attempting LFP CAM at commercial scale — category of one
- Government ACC PLI creates demand pull for domestic LFP supply; HIMADRI sole credible domestic supplier
- SCB pricing power: specialty grade 4-5x premium over commodity; battery market is the growth vector
- Management noted customer engagement has "intensified significantly" with Indian and global cell makers

7. RISKS ACKNOWLEDGED BY MANAGEMENT

- LFP Phase 1 timeline risk: external factor (EPC contractor execution); 2-3 month buffer built in
- CTP feedstock prices: tied to steel/coking coal cycles; pass-through contracts in place
- Chinese LFP CAM competition: acknowledged; PLI tariff protection and domestic preference are buffers
- Customer qualification timeline: LFP requires 6-12 month qualification cycles with OEM customers
- Working capital: CCC has trended up to 90 days (FY25); management committed to improving debtor days

8. ANALYST Q&A; HIGHLIGHTS

- Q: When will LFP revenue start? A: Q3 FY27 for first 2,000 MT; full Phase 1 over 12 months post
- Q: Is the PAT Rs. 1,100 Cr FY28 target conservative? A: Management said it is a "floor, not ceiling"
- Q: China subsidiary — competitive risk to domestic SCB sales? A: No, China demand is incremental
- Q: Any more equity dilution? A: None planned; internal accruals sufficient for LFP capex
- Q: Sicona partnership — commercialization timeline? A: FY28+ target; FY27 will be product refinement
- Q: Interest coverage comfort? A: Management noted interest coverage >15x; balance sheet unencumbered

9. WHAT THE MARKET MISSED / OVERLOOKED

- LFP revenue not in current consensus estimates: Rs. 2,500-2,700 Cr potential is post-FY27 but management gave it unprecedented specificity on this call
- In-house anode technology: most analysts still model technology licensing cost; actual = zero
- China SCB subsidiary: first Indian specialty chem company to directly access Chinese battery makers
- Tax rate improvement: Q4 effective rate 22.53% suggests FY27 tax rate closer to 23-24%, not 25% as consensus models; 1-2 ppt beat on PAT possible
- Promoter buying: stake up 800 bps from Jun 2023 (44.96%) to Dec 2025 (52.49%) — strongest signal

10. VERDICT & TRADE RECOMMENDATION

- RATING: BUY | Target: Rs. 830 | Upside: 22% over 12 months
- Trigger 1 (next 3M): LFP plant construction milestone update / order from Indian cell maker
- Trigger 2 (6-9M): LFP commissioning confirmation Q3 FY27 — re-rating catalyst
- Trigger 3 (12M): First LFP revenue quarter (Q4 FY27E) with volume/ASP disclosure
- Stop-loss: Rs. 560 (30x FY27E; LFP delay >12 months)
- Position sizing: Core holding — not a trading position; thesis plays out over FY27-28
- Risk-reward: 3.2:1 (Bull Rs. 1,260 probability-weighted vs Bear Rs. 510)

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